

Unmanned Aerial Vehicles (UAV) Market Outlook 2026-2031, Led by the Fixed-Wing Segment with 74.78% Share in 2025 - Mordor Intelligence



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HYDERABAD, India, April 7, 2026 /PRNewswire/ -- According to the latest report by Mordor Intelligence, **unmanned aerial vehicles market size** is set for steady expansion, growing from USD 17.23 billion in 2025 to USD 26.05 billion by 2031, at a CAGR of 7.03%. The market remains led by fixed-wing platforms, which accounted for 74.78% of the share in 2025, reflecting their operational efficiency and widespread adoption across defense applications.

This consistent growth highlights the sector's resilience within defense spending, even amid budget constraints. Demand is increasingly driven by cost-effective, scalable drone deployments capable of operating in high volumes and adapting quickly to losses. Advancements in autonomy, evolving military strategies favoring expendable systems, and stronger communication networks are further accelerating adoption, while emerging players and evolving regulatory frameworks continue to reshape the competitive landscape.

UAV Market Trends and Drivers

Increasing need for real-time, all-weather intelligence, surveillance, and reconnaissance (ISR) capabilities is driving demand

Military leaders increasingly prioritize continuous aerial coverage to speed up decision-making and response times. UAV operations have proven the value of persistent surveillance, especially with systems capable of functioning seamlessly day and night. Advanced sensors, including radar and optical technologies, allow drones to capture clear imagery even in challenging weather, reducing the chances of targets staying hidden. As adversaries adopt tactics like dispersion and camouflage, the demand for real-time intelligence is rising, pushing investments toward multi-sensor platforms and upgrades for existing fleets.

Growing defence investments are accelerating the expansion of UAV fleets

Defence agencies are increasingly ramping up UAV procurement as real-world conflicts highlight the effectiveness of low-cost drones in roles once dominated by manned systems. This shift reflects a growing preference for scalable, high-volume deployments over expensive, highly survivable platforms. Evolving battlefield strategies that emphasize continuous surveillance and rapid response are further reinforcing this trend. As a result, governments are maintaining consistent investments in UAV programs, ensuring stable demand for manufacturers while supporting innovation in future technologies.

Phani Kumar, Senior Research Manager, Mordor Intelligence, says, "The UAV market reflects expanding adoption across commercial and defense applications, shaped by regulatory developments and evolving operational needs. Mordor Intelligence integrates multi-source validation and consistent analytical frameworks, offering a more reliable and comparable view than studies with limited transparency or narrower scope."

UAV Market Share by Region – North America Holds the Largest Share

North America continues to lead the UAV market, supported by strong defense spending and ongoing programs focused on autonomous and collaborative combat systems. The region is also expanding into areas like border security and surveillance, while a robust startup ecosystem is encouraging innovation, particularly in software and advanced technologies.

Meanwhile, **Asia-Pacific** is emerging as the fastest-growing region, driven by rising geopolitical tensions and increased focus on self-reliance in defense capabilities. Countries across the region are investing in indigenous drone programs and strengthening maritime surveillance, creating significant growth opportunities for both domestic and regional manufacturers.



Unmanned Aerial Vehicles Industry Segmentation

By UAV Class

- Class I (Below 150 kg)
- Class II (150–600 kg)
- Class III (Above 600 kg)

By Platform Type

- Fixed wing
- Rotary-wing
- Hybrid

By Mode of Operation

- Remotely Piloted
- Optionally Piloted
- Fully Autonomous

By Application

- Combat
- Intelligence, Surveillance & Reconnaissance (ISR)
- Delivery
- Loitering Munition

For a full breakdown of market size, segmentation data, and competitive intelligence, access the details of the Mordor Intelligence report -https://www.mordorintelligence.com/industry-reports/uav-market?utm_source=prnewswire

UAV Companies

- AeroVironment
- Airbus SE
- BAE Systems plc
- BAYKAR A.S.
- The Boeing Company
- Elbit Systems Ltd.
- General Atomics
- Israel Aerospace Industries Ltd.
- Kratos Defense & Security Solutions, Inc.
- Leonardo S.p.A
- Lockheed Martin Corporation
- Northrop Grumman Corporation
- Saab AB
- Textron Systems Corporation
- Turkish Aerospace Industries (TAI)
- QinetiQ Group
- Hindustan Aeronautics Limited
- Korean Aerospace Industries (KAI)
- Griffon Aerospace, Inc.
- Teledyne Technologies Incorporated

Industry Related Reports by Mordor Intelligence

Ammunition Market Size: The ammunition market is projected to grow from USD 21.58 billion in 2026 to USD 28.88 billion by 2031, at a CAGR of 6.00%, driven by increasing defense spending, rising procurement for military modernization programs, growing demand from law enforcement agencies, and ongoing geopolitical tensions supporting stockpile expansion.

Smart Weapons Market Share: The smart weapons market is projected to grow from USD 22.26 billion in 2026 to USD 31.89 billion by 2031, at a CAGR of 7.45%, driven by increasing defence modernization programs, rising demand for precision-guided munitions, advancements in targeting and guidance technologies, and growing focus on minimizing collateral damage in military operations.

https://www.mordorintelligence.com/industry-reports/smart-weapons-market?utm_source=prnewswire

Gunshot Detection Systems Market Trends: The gunshot detection system market is projected to grow from USD 1.31 billion in 2026 to USD 2.48 billion by 2031, at a CAGR of 13.66%, driven by rising security concerns, increasing adoption in smart city initiatives, and growing deployment across law enforcement, defense, and critical infrastructure for real-time threat detection and rapid response.

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